CHAPEL HILL DENHAM
NIGERIA INFRASTRUCTURE DEBT FUND

FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

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PARTIES TO THE FUND

STL Trustees Limited and Stanbic Trustees Limited	- Joint Trustees to the Fund
Chapel Hill Denham Management Limited	- Fund Manager
Coronation Registrars Limited	- Registrar to the Fund
Citibank Nigeria Limited	- Custodian to the Fund
KPMG	- Valuation Adviser
PricewaterhouseCoopers Lagos Nigeria	- Auditors

Trustee's Report:
The Trustees present their report on the affairs of the Nigeria Infrastructure Debt Fund (the Fund), together with the audited financial statements for year 2025.

Principal activity:
The principal activity of the Chapel Hill Denham Nigeria Infrastructure Debt Fund ('The Fund') is to provide Debt Financing for infrastructural development under the Rules on Infrastructure Funds issued by the Securities and Exchange Commission. The Fund's aim is to provide investors with regular and stable income by making primarily debt investments in infrastructure projects located in Nigeria. Investments may be majority or minority proportion of the total debt and may be made in development, greenfield, expansion, recapitalization, rehabilitation or restructuring of any of such assets whether or not such investments create an immediate positive cash flow, as well as mature projects in each case in accordance with and subject to the terms of this Trust Deed.

During the year under review, the Fund was administered in accordance with the Investments and Securities Act, 2025, Rules on Infrastructure Fund, the provisions of the Trust Deed together with the rules and regulations set out by the regulatory bodies pursuant to the legislation referred to within this paragraph ("Applicable Regulations"), taking into cognisance the prevailing market conditions as well as preserving of (and minimising possible losses to) Unitholders' funds.

Results:

The results for the year is extracted from the financial records prepared by the Fund Manager and have been duly audited in accordance with Section 169(1) of the Investments and Securities Act 2025, and the Trust Deed establishing the Fund.

The Net Asset Value of the Fund as at 31 December 2025 is as follows;

In thousands of Naira '000	31 December 25	31 December 24
Net Assets Value	130,550,618	113,753,476

The operating result for the year ended 31 December 2025, is as follows:

In thousands of Naira '000	31 December 25	31 December 24
Profit for the year/period	23,455,502	19,589,775

Distribution:

The Fund Manager distributed a total dividend of ₦19.56 per unit for the year (2025).

Directors:

The Directors of the Fund Manager who served on the board of the Fund Manager during the year under review and up to the date of approving these financial statements were:

- Mr. Philip Southwell
- Mr. Sumbo Akintola
- Mr. Mobolaji Balogun
- Mrs. 'Kemi Awodein

Responsibilities of the Fund Manager:

The Investments and Securities Act, 2025 requires the Fund Manager to keep proper books of account and prepare annual financial statements which give a true and fair view of the state of affairs of the unit trust scheme during the period covered by the financial statements.

In our opinion, the Fund Manager has in preparing the financial statements:

- selected suitable accounting policies and applied them consistently;
- made judgments and estimates that were reasonable and prudent;
- ensured that the applicable accounting standards have been followed, and
- prepared the financial statements on a going concern basis; since it was appropriate to assume that the Fund shall continue to exist in the foreseeable future.

The Fund Manager was responsible for keeping proper accounting records, which disclose with reasonable accuracy, at any point in time, the financial position of the Fund, and enable the Fund Manager to ensure that the financial statements comply with the Trustees Investment Act, CAP T22 LFN, 2004, the Investments and Securities Act, 2025 and the provisions of the Trust Deed thereto, together with the rules and regulations set out by the regulatory bodies established pursuant to the legislation referred to within this paragraph ("Applicable Regulations").

The Fund Manager is also responsible for maintaining adequate financial resources to meet its commitments and to manage the risks to which the Fund is exposed.

Responsibilities of the Trustee:

The responsibilities of the Trustee as provided by Securities and Exchange Commission's Rules and Regulations made pursuant to the Investments and Securities Act, 2025 are as stated below:

- Monitoring of the activities of the Fund Manager and the custodian on behalf of and in the interest of the Unitholders';
- Ensuring that the Custodian takes into custody all of the scheme's assets and holds it in trust for the holders in accordance with the Trust Deed and the Custodial Agreement;

- Monitoring the register of Unitholders' or contributors;
- Ascertaining the Fund Manager's compliance with the Applicable Regulations;
- Ascertaining that the monthly and other periodic returns/reports relating to the Fund are sent by the Fund Manager to the Commission;
- Taking all steps and executing all documents which are necessary to secure acquisitions or disposals properly made by the Fund Manager in accordance with the Trust Deed and Custodial Agreement;
- Exercising any right of voting conferred on it as the registered holder of any investment and/or forward to the fund manager within a reasonable time all notices of meetings, reports, circulars, proxy solicitations and any other document of a like nature for necessary action;
- Ensuring that fees and expenses of the fund is within the prescribed limits; and
- Acting at all times in the interest and for the benefit of Unitholders' of the scheme.

Administration of the Fund:

The Fund was administered in accordance with the Applicable Regulations, taking into cognisance the prevailing market conditions as well as the goal of preserving and minimising possible losses to Unitholders funds.

Charitable donations:
The Fund did not make any charitable donations during the year. (2025)

Auditors:
PricewaterhouseCoopers, having indicated their willingness to continue in office, shall do so in accordance with Section 169(1) of the Investments and Securities Act, 2025.

By Order of the Joint Trustees

Funmi Ekundayo	***Emi Agaba-Oloja***
FRC/2014/PRO/DIR/003/00000006946	***FRC/2025/PRO/DIR/003/210790***
Managing Director	***Chief Executive Designate***
STL Trustees Limited	***Stanbic IBTC Trustees Limited***
Lagos, Nigeria	***Lagos, Nigeria***

Nigeria Infrastructure Debt Fund

Fund Manager's Report for the year ended 31 December 2025

Introduction

The Chapel Hill Denham Nigeria Infrastructure Debt Fund ("**NIDF**" or the "**Fund**") is an infrastructure fund registered with the Securities & Exchange Commission, Nigeria ("**SEC**" or the "**Commission**"), with an objective of providing its unitholders regular and stable income by primarily providing debt financing to infrastructure projects and businesses located in Nigeria. NIDF was established as a unit trust on 7 February 2017 and commenced operations on 28 June 2017. The initial units were listed on the FMDQ OTC Exchange on 17 July 2017 and subsequently on the Nigeria Stock Exchange on 5 October 2023.

The Fund seeks to build a diversified portfolio of loans to projects or businesses that (I) provide essential economic and social services; (ii) have predictable cash flows; and (iii) utilise assets with long useful life.

Summary of Operations

During the year ended 31 December 2025, the Fund continued its progress in building a more diversified portfolio of infrastructure loans, by financing commercially viable infrastructure projects on attractive terms. The infrastructure loan portfolio of the Fund grew to N97.252 billion (2024: ₦93.369 billion).

During the year, the performance of the Fund's loan portfolio was satisfactory, and the borrowers met their obligations towards the Fund in a timely manner.

The Fund successfully completed Series-11 of additional fundraising during the year. In 2025, the Fund raised N15.16 billion by issuing c.140.1 million units ("Series 11").

In 2025, the Fund issued a total of 965,944 units as scrip distribution in lieu of cash distributions paid by the Fund based on the Scrip Distribution Alternative of 25,000,000 units approved by SEC in 2018.

During the year, the Fund Manager reviewed a number of additional loan proposals in various infrastructure sectors, and the Investment Committee of the Fund also granted its preliminary and/or final approvals to a number of additional infrastructure loans.

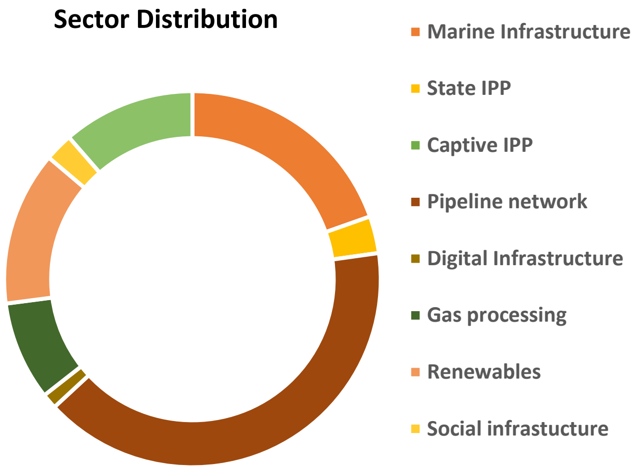
CHAPEL HILL DENHAM
Management

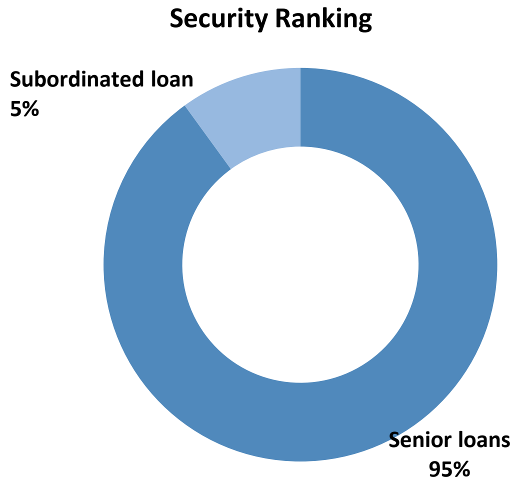
Portfolio Overview
As at 31 December 2025, the Fund's portfolio of infrastructure loans comprised of the following twenty loans:

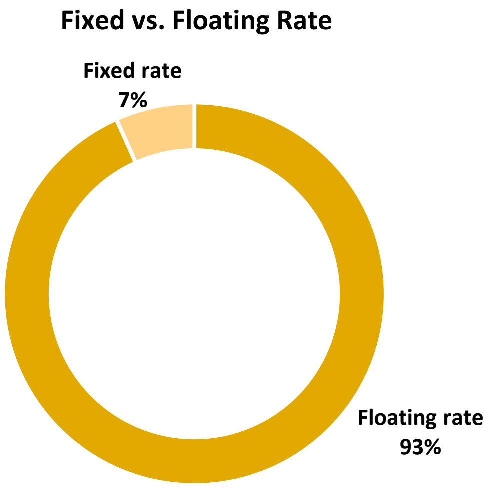
S/N	Sector	Description	Initial loan amount (N'm)	Tenor (Years)
1	Digital Infrastructure	Broadband network access across several states in Nigeria	1,031	5
2	Digital Infrastructure	Broadband network access across several states in Nigeria	509	5
3	State IPP	Captive power plant	4,190	9
4	Telecom infrastructure	Development and maintenance of collocation telecom towers	1,152	7
5	Telecom infrastructure	Acquisition of a portfolio of collocation telecom towers	4,000	11
6	Telecom infrastructure	Development and maintenance of collocation telecom towers	1,960	7
7	Telecom infrastructure	Acquisition of a portfolio of collocation telecom towers	14,400	8
8	Gas processing	Gas processing and distribution of CNG	3,553	7
9	Gas processing	Gas processing and distribution of CNG	4,286	8
10	Gas processing	Gas processing and distribution of CNG	3,686	7
11	Renewables	Roll out of integrated solar hybrid power solution for branches of select commercial banks, schools, and industrial customers	7,848	8
12	Renewables	Roll out of integrated solar hybrid power solution for branches of select commercial banks, schools, and industrial customers	3,617	10
13	Renewables	Roll out of integrated solar hybrid power solution for branches of select commercial banks, schools, and industrial customers	1,268	10
14	Pipeline network	Pipeline distribution network for natural gas	8,000	11
15	Pipeline network	Pipeline distribution network for natural gas	8,000	10

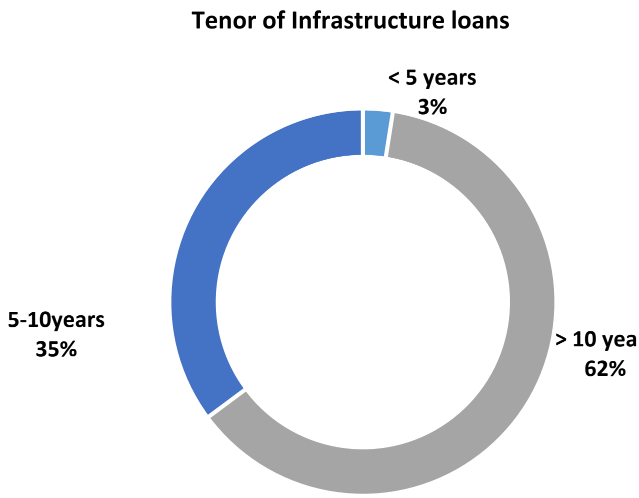
S/N	Sector	Description	Initial loan amount (N’m)	Tenor (Years)
16	Pipeline network	Pipeline distribution network for natural gas	23,436	12
17	Renewables	Receivables financing for solar home solutions	7,890	3
18	Social infrastructure	Development, maintenance and operation of purpose-built student accommodations	1,600	23
19	Social Infrastructure	Development, maintenance and operation of purpose-built student accommodations	683	23
20	Marine Infrastructure	Development and construction of a jetty and Liquefied Petroleum Gas (LPG) storage facility	18,409	12
	Total		**119,518**	

The charts below summarise the principal characteristics of the Fund's infrastructure loan portfolio, as at 31 December 2025.









Financial Overview

During 2025, the Fund's total income was ₦ 25.77 billion. The net income for the period, after meeting the Fund expenses, was ₦ 23.46 billion.

As at 31 December 2025, the Net Asset Value of the Fund stood at ₦130.55 billion (2024: ₦113.75 billion) represented by 1,196,357,953 units (2024: 1,055,292,005 units). Accordingly, the Net Asset Value per Unit of the Fund as at 31 December 2024 was ₦109.12 (2024: ₦107.79).

Distributions

During the year ended 31 December 2025, the Fund announced the following distributions to the unitholders:

Q1 distribution	₦ 5.43/unit
Q2 distribution	₦ 5.20/unit
Q3 distribution	₦ 4.25/unit
Q4 distribution	₦ 4.68/unit

Total distribution ₦19.56/unit

The total amount of distributions declared by the Fund during 2025 was ₦21.90 billion (2024: ₦19.35billion).

Future Pipeline

The Fund Manager is actively engaged in sourcing and structuring new infrastructure loans for the Fund. In addition to the infrastructure loans already disbursed, it is in various stages of discussions and negotiations on additional loans.

Given the substantial investment needs for different infrastructure sectors in Nigeria, the longer-term potential and demand for long-dated, Naira-denominated financing is quite large. The Fund Manager is tracking a pipeline of projects which are expected to materialise during the next 12-24 months.

KEMI AWODEIN	**BOLAJI BALOGUN**
DIRECTOR	**MANAGING DIRECTOR / CIO**

This report is dated 24th March 2026.

CHAPEL HILL DENHAM
Management

Statement of Fund Managers Responsibilities

In accordance with the Amended and Restated Programme Trust Deed (the "**Trust Deed**") dated 16 September 2020, the Fund Manager has the following duties:

a. Selection and management of the portfolio of investments in accordance with the Trust Deed;
b. Preparing periodic accounting records of the Fund in accordance with the Investment and Securities Act and the applicable rules issued by the Nigeria Securities and Exchange Commission (the "**Commission**") from time-to-time;
c. Keeping of books of accounts for the Fund;
d. Filing monthly and other periodic returns /reports with the Commission, the Joint Trustees, the Registrar and the Unitholders;
e. Organising the meetings of the members of the Fund;
f. Organise the meetings of the Fund's advisory board;
g. Representing the interest of the Fund in both the national and the global markets;
h. Complying with the Investments and Securities Act, and the Trust Deed;
i. Avoiding conflicts of interest between the Fund Manager and the Fund;
j. Disclosing the interests of its directors and management in the Fund to the unitholders;
k. Ensuring that adequate financial resources are available to meet the Fund's financial obligations;
l. Organising and controlling the Fund in a reasonable and responsible manner expected of a fund manager;
m. Keeping proper records in relation to the Fund;
n. Employing adequately trained staff and ensuring that they are properly supervised;
o. Establishing well defined compliance procedures and risk management policies;
p. Displaying the Fund's annual reports on its website and promoting investor education;
q. Establish and maintain the Fund's Environmental & Social (E&S) Management System in accordance with the Fund's E&S policy including, but not limited to, appointment of the Fund's E&S Advisor;

BOLAJI BALOGUN

MANAGING DIRECTOR / CIO

Chapel Hill Denham Management Limited

Annual Report and Financial Statements for the year ended 31 December 2025

Management's Annual Assessment of, and Report on, **Chapel Hill Denham Management Limited's** Internal Control over Financial Reporting

To comply with the assessment requirements of the FRC Guidance on Management Report on Internal Control Over Financial Reporting issued by the Financial Reporting Council of Nigeria, we hereby make the following statements regarding the Internal Controls of **Chapel hill Denham Management Limited** for the year ended 31 December 2025:

i. **Chapel Hill Denham Management Limited's** management is responsible for establishing and maintaining a system of internal control over financial reporting ("ICFR") that provides reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with International Financial Reporting Standards.

ii. **Chapel Hill Denham Management Limited's** management used the Committee of Sponsoring Organization of the Treadway Commission (COSO) Internal Control-Integrated Framework to conduct the required evaluation of the effectiveness of the entity's ICFR.

iii. **Chapel Hill Denham Management Limited's** management has assessed that the entity's ICFR as of the end of 31 December 2025 is *effective*.

iv. **Chapel Hill Denham Management Limited's** external auditor Messrs. PricewaterhouseCoopers, that audited the financial statements included in the annual report, has issued an attestation report on management's assessment of the entity's internal control over financial reporting.

The attestation report of Messrs. PricewaterhouseCoopers that audited its financial statements will be filed as part of **Chapel Hill Denham Management Limited's** annual report.

Name: Mr. Bolaji Balogun	**Name: Mr. Abidemi Oni**
Managing Director	**Chief Financial Officer**
FRC No.: FRC/2013/CISN/00000004945	**FRC No.: FRC/2014/ICAN/00000007140**

Certification of management's assessment on internal control over financial reporting

To comply with the assessment requirements of the FRC Guidance on Management Report on Internal Control Over Financial Reporting issued by the Financial Reporting Council of Nigeria, I hereby make the following statements regarding the internal control over financial reporting of **Chapel Hill Denham Management Limited** for the year ended 31 December 2025.

I, **Abidemi Oni,** certify that:

a) I have reviewed this management assessment on internal control over financial reporting of **Chapel Hill Denham Management Limited's**;

b) Based on my knowledge, this report does not contain any untrue statement of material facts or omit to state a material fact necessary to make the statements made, considering the circumstances under which such statements were made, not misleading with respect to the period covered by this report.

c) Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the entity as of, and for, the periods presented in this report.

d) The entity's other certifying officer and I:
1) are responsible for establishing and maintaining internal controls;
2) have designed such internal controls and procedures, to ensure that material information relating to the entity is made known to us by others within those entities, particularly during the period in which this report is being prepared;
3) have designed such an internal control system, or caused such an internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
4) have evaluated the effectiveness of the entity's internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report based on such evaluation.

e) The entity's other certifying officer and I have disclosed, based on our most recentevaluation of internal control system, to the entity's auditors and the audit committee of the entity's board of directors (or persons performing the equivalent functions):
   1) All significant deficiencies and material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the entity's ability to record, process, summarize and report financial information; and
   2) Any fraud, whether or not material, that involves management or other employees who have a significant role in the entity's internal control system.

f) The entity's other certifying officer(s) and I have identified, in the report whether or not there were significant changes in internal controls or other facts that could significantly affect internal controls subsequent to the date of their evaluation including any corrective actions with regard to significant deficiencies and material weaknesses.

Name: Abidemi Oni

Designation: Chief Finance Officer

FRC No: FRC/2014/ICAN/00000007140

Signature:______________________________

Date:

Independent practitioner's report

To the Members of Chapel Hill Denham Nigeria Infrastructure Debt Fund

Report on an assurance engagement performed by an independent practitioner to report on management's assessment of controls over financial reporting

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Our opinion

In our opinion, nothing has come to our attention that the internal control procedures over financial reporting put in place by the Fund Manager of Chapel Hill Denham Nigeria Infrastructure Debt Fund ("the Fund's") are not adequate as at 31 December 2025, based on the SEC Guidance on Implementation of Sections 88 – 91 of The Investments and Securities Act 2025 issued by The Securities and Exchange Commission.

What we have performed

We have performed an assurance engagement on the Fund Manager's internal control over financial reporting as of December 31, 2025, based on FRC Guidance on Assurance Engagement Report on Internal Control Over Financial Reporting ("the Guidance") issued by the Financial Reporting Council of Nigeria. The Fund Manager is responsible for maintaining effective internal control over financial reporting, and for its assessment of the effectiveness of internal control over financial reporting, included in the accompanying Management's Annual Assessment of, and Report on, Chapel Hill Denham Management Limited's internal Control over Financial Reporting. Our responsibility is to express an opinion on the Fund's internal control over financial reporting based on our assurance engagement.

Basis for opinion

We conducted our assurance engagement in accordance with the Guidance, which requires that we plan and perform the assurance engagement and provide a limited assurance report on the entity's internal control over financial reporting based on our assurance engagement. As prescribed in the Guidance, the procedures we performed included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. Our engagement also included performing such other procedures as we considered necessary in the circumstances. We believe the procedures performed provide a basis for our report on the internal control put in place by management over financial reporting.

Definition and Limitations of Internal Control over Financial Reporting

A Fund Manager's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A Fund Manager's internal control over financial reporting includes those policies and procedures that (i) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Fund; (ii) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the Fund are being made only in accordance with authorizations of management of the Fund; and (iii) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the Fund's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect all misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Other matter

We also have audited, in accordance with the International Standards on Auditing, the financial statements of Chapel Hill Denham Nigeria Infrastructure Debt Fund and our report dated 29 March 2026 expressed an unqualified opinion.

For: **PricewaterhouseCoopers**
Chartered Accountants
Lagos, Nigeria
FRC/2023/COY/176894

29 March 2026

Engagement Partner: Wuraola Olowofoyeku
FRC/2017/PRO/ICAN/004/00000016809

pwc

Independent auditor's report

To the Members of Chapel Hill Denham Nigeria Infrastructure Debt Fund

Report on the audit of the financial statements

Our opinion

In our opinion, Chapel Hill Denham Nigeria Infrastructure Debt Fund's ("the fund's") financial statements give a true and fair view of the financial position of the Fund as at 31 December 2025, and of its financial performance and its cash flows for the year then ended in accordance with international financial reporting standards as issued by the International Accounting Standards Board ("IFRS Accounting Standards") and the requirements of the Investments and Securities Act 2025 and the Financial Reporting Council of Nigeria (Amendment) Act, 2023.

What we have audited

Chapel Hill Denham Nigeria Infrastructure Debt Fund's financial statements comprise:

- the statement of financial position as at 31 December 2025;
- the statement of comprehensive income for the year then ended;
- the statement of changes in net assets attributable to unitholders for the year then ended;
- the statement of cash flows for the year then ended; and
- the notes to the financial statements, which include a summary of material accounting policies.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Fund in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards), i.e. the IESBA Code issued by the International Ethics Standards Board for Accountants. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the key audit matter
Financial assets held at fair value through profit or Loss - Investment in infrastructure loans N97.25 billion (Refer to notes 5a(iii), 7a and 17) The fair value of investments in infrastructure loans is determined through the application of valuation techniques, requiring assumptions, estimates and the exercise of judgement by the Fund Manager with input from an external valuation expert. Significant inputs into the valuation model include: • Contractual cash flows generated over the tenor of the loan. • The obligor risk ratings which were derived from the fund's internal credit scoring methodology. • The risk premiums and risk-free rate used to calculate the present value of expected future cashflows.	We adopted a combination of controls and substantive approach in assessing the fair valuation of Investment in infrastructure loans. We evaluated and tested the design and operating effectiveness of relevant controls supporting the estimate. We evaluated the competence of the Fund's external valuation expert in the context of their ability to provide a reliable estimate of fair value by assessing their professional qualifications and experience. In assessing the reasonableness of the fair value of the infrastructure loans, we: • agreed the contractual cash flows used in the valuation model to the loan facility agreements between the Fund and all obligors; • evaluated the validity of the obligor risk ratings by conducting a detailed credit review of the loan book; and • engaged our internal valuation experts to assess the appropriateness of the risk-free rate and the associated risk premiums applied in the valuation model. We assessed the appropriateness of the disclosure in the financial statements in accordance with IFRS 9.

Other information

The Fund manager is responsible for the other information. The other information comprises the Parties to the Fund, Trustees' Report, Fund Manager's Report for the year ended 31 December 2025, Statement of Fund Manager's Responsibilities, Management's Annual Assessment of, and report on, Chapel Hill Denham Management Limited's Internal Control over Financial reporting, Certification of Management's Assessment on Internal Control over Financial Reporting, Value Added Statement and Five-Year Financial Summary but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Fund Manager and those charged with governance for the financial statements

The Fund Manager is responsible for the preparation of the financial statements that give a true and fair view in accordance with IFRS Accounting Standards and the requirements of the Investments and Securities Act 2025, the Financial Reporting Council of Nigeria (Amendment) Act,2023, and for such internal control as the Fund Manager determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Fund Manager is responsible for assessing the Fund's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Fund Manager either intends to liquidate the Fund or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Fund's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from

fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Fund Managers.
- Conclude on the appropriateness of the Fund Manager's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Fund's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our

conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Fund to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

In accordance with the requirements of the Securities and Exchange Commission, we performed a limited assurance engagement and reported on management's assessment of Chapel Hill Denham Nigeria Infrastructure Debt Fund's internal control over financial reporting as of 31 December 2025. The work performed was done in accordance with FRC Guidance on Assurance Engagement Report on Internal Control Over Financial Reporting issued by the Financial Reporting Council of Nigeria, and we have issued an unqualified opinion in our report dated 29 March 2026.

Wura Olowofoyeku

For: **PricewaterhouseCoopers**
Chartered Accountants
Lagos, Nigeria

29 March 2026

Engagement Partner: Wuraola Olowofoyeku
FRC/2017/PRO/ICAN/004/00000016809

CHAPEL HILL DENHAM NIGERIA INFRASTRUCTURE DEBT FUND
STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2025

	Notes	2025 N'000	2024 N'000
Assets			
Cash and cash equivalents	**15**	40,189,972	25,780,822
Other receivables	**16**	25,720	9,700
Financial assets held at fair value through profit or loss	**17**	97,251,602	94,753,063
Financial assets held at Amortised cost	**18**	200,000	200,000
Total assets		**137,667,294**	**120,743,585**
Liabilities			
Other payables	**19**	1,517,718	1,201,976
Distribution payable	**20**	5,598,958	5,788,133
Total liabilities		**7,116,676**	**6,990,109**
Net assets		**130,550,618**	**113,753,476**
Capital and reserves			
Member's funds	**20**	130,550,618	113,753,476
Net assets attributable to unitholders		**130,550,618**	**113,753,476**
Number of Units ('000)		1,196,358	1,055,292
NAV per unit (naira per unit)		**109.12**	**107.79**

Signed and authorised for issue on behalf of the Fund Manager on 27 March 2026 by:

Mr. Abidemi Oni
Chief Finance Officer
FRC/2014/ICAN/00000007140

Mr. Bolaji Balogun
Director
FRC/2013/CISN/00000004945

CHAPEL HILL DENHAM NIGERIA INFRASTRUCTURE DEBT FUND
STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2025

	Notes	2025 N'000	2024 N'000
Income			
Interest income on infrastructure loans	**10**	21,563,556	17,637,015
Net fair value gains on infrastructure loans	**11**	1,002,869	370,297
Interest income on bank deposit	**12**	2,839,562	2,987,555
Other income	**13**	361,837	588,896
Total income		**25,767,824**	**21,583,764**
Expense			
Operating expenses	**14**	(2,312,322)	(1,993,989)
Total expense		**(2,312,322)**	**(1,993,989)**
Total operating profit		**23,455,502**	**19,589,775**
Profit for the year		**23,455,502**	**19,589,775**
Profit for the year		**23,455,502**	**19,589,775**

All of the Fund's results are derived from continuing operations.

CHAPEL HILL DENHAM NIGERIA INFRASTRUCTURE DEBT FUND
STATEMENT OF CHANGES IN NET ASSET ATTRIBUTABLE TO UNITHOLDERS
FOR THE YEAR ENDED 31 DECEMBER 2025

	Members' Funds	Funds Available for Distribution	Total
	N'000	N'000	N'000
Opening balance	113,538,212	215,264	113,753,476
Additional issues	15,261,366	-	15,261,366
Total comprehensive income for the year	-	23,455,502	23,455,502
Members funds	**128,799,578**	**23,670,766**	**152,470,344**
Distribution paid and payable	-	(21,919,726)	(21,919,726)
Balance as at December 31, 2025	**128,799,578**	**1,751,040**	**130,550,618**

NIGERIA INFRASTRUCTURE DEBT FUND
STATEMENT OF CHANGES IN NET ASSET ATTRIBUTABLE TO UNITHOLDERS
FOR THE PERIOD ENDED 31 DECEMBER 2024

	Members' Funds	Funds Available for Distribution	Total
	N'000	N'000	N'000
Opening balance	103,306,001	-	103,306,001
Additional issues	10,232,211	-	10,232,211
Total comprehensive income for the year		19,589,775	19,589,775
Members funds	**113,538,212**	**19,589,775**	**133,127,987**
Distribution paid and payable	-	(19,374,511)	(19,374,511)
Balance as at December 31, 2024	**113,538,212**	**215,264**	**113,753,476**

CHAPEL HILL DENHAM NIGERIA INFRASTRUCTURE DEBT FUND
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2025

	Notes	December 2025 N'000	December 2024 N'000
Cash flow from operating activities			
Profit for the year		23,455,502	19,589,774
Fair value gain on financial assets held at fair value through profit or loss	17	(1,002,869)	(370,297)
Changes in working capital			
Increase in other payables	19	126,567	2,498,216
(Increase) / Decrease in other receivables	16	(16,020)	576,547
Net cash flow generated from operating activities		**22,563,179**	**22,294,241**
Cash flow from investing activities			
Investment in infrastructure loans	17	(28,649,105)	(18,709,694)
Repayment of infrastructure loans	16	27,153,434	10,139,771
Investment in financial asset at amortised cost	17	-	(30,000)
Net cash flow used in investing activities		**(1,495,671)**	**(8,599,924)**
Cash flow from financing activities			
Proceeds from issue of units	20	15,261,366	10,232,211
Distributions paid to unitholders	19	(21,919,726)	(19,374,511)
Net cash flow generated used in financing activities		**(6,658,360)**	**(9,142,300)**
Change in cash and cash equivalents		14,409,149	4,552,018
Cash and cash equivalents at the beginning of the year		25,780,822	21,228,805
Cash and cash equivalents at the end of the year		**40,189,972**	**25,780,822**

1 General Information

The Chapel Hill Denham Nigeria Infrastructure Debt Fund ("NIDF" or the "Fund") is an infrastructure fund registered with the Securities and Exchange Commission, Nigeria under the Investment and Securities Act 2025 (ISA 2025) and the relevant rules and regulations.

The Fund provides long-term senior and subordinated debt financing to infrastructure projects and businesses located in Nigeria. The Fund commenced operations on 28 June 2017.

Chapel Hill Denham Management Limited (the "Fund Manager") acts as the manager of the Fund, under the terms of the trust deed dated September 16, 2020.

2 Basis of preparation

The financial statements of the Fund have been prepared in accordance with International Financial Reporting Standards as issued by International Accounting Standards Board ("IFRS Accounting standards") and interpretations issued by the IFRS Interpretations Committee (IFRS IC) applicable to companies reporting under IFRS. The financial statements have been prepared on a going concern basis.

3 Material accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below.
These policies have been consistently applied to all the years presented, unless otherwise stated.

(a) Functional and presentation currency

Items included in the financial statements of the Fund are measured in the currency of the primary economic environment in which the Fund operates.

The primary objective of the Fund is to generate returns in Naira, its reporting currency. The Fund's performance is evaluated in Naira. Therefore, the Fund Manager considers Naira as the currency that most faithfully represents the economic effects of the underlying transactions, events and conditions and has adopted it as the Fund's presentation currency. Except where indicated, financial information presented in Naira has been rounded to the nearest thousand.

(b) Basis of measurement

These financial statements have been prepared on the historical cost basis except for the investment in infrastructure loans, which is held at fair value through profit or loss.

(c) Segmental information

For management purposes, the Fund is organised as one main operating segment. All of the Fund's activities are interrelated and each activity is dependent on the others. The Fund Manager's asset allocation decisions are based on a single, integrated investment strategy, and the Fund's performance is evaluated on an overall basis.
Accordingly, all significant operating decisions are based upon analysis of the Fund as one unit. The financial results from this unit are equivalent to the financial statements of the Fund as a whole.

(d) Use of estimates and judgments

The preparation of the financial statements in conformity with IFRS Accounting Standards requires management to make judgements, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates.
The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised, if the revision affects only that period, or in the period of the revision and future periods, if the revision affects both current and future periods.
Information about significant areas of estimation uncertainties and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are described in note 7a.

4 Changes in accounting policies and disclosures

(a) New standards, amendments, interpretations adopted by the Fund.

The Fund has applied the standards and amendments that are applicable to the Fund for the first time in the annual reporting period commencing 1 January 2025.

Lack of Exchangeability – Amendments to IAS 21, 'The Effects of Changes in Foreign Exchange Rates (effective for annual periods beginning on or after 1 January 2025)

In August 2023, the IASB amended IAS 21 to add requirements to help entities to determine whether a currency is exchangeable into another currency, and the spot exchange rate to use where it is not. Prior to these amendments, IAS 21 set out the echange rate to use when exchangeability is not temporary.
The amendments listed above did not have any material impact on the amounts recognized in prior periods and are not expected to significantly affect the current or future periods.

(b) New standards, amendments and interpretations not yet adopted

Amendments to the Classification and Measurement of Financial Instruments – Amendments to IFRS 9 and IFRS 7

The IASB issued targeted amendments to IFRS 9 and IFRS 7 to respond to recent questions arising in practice, and toinclude new requirements not only for financial institutions but also for corporate entities. Among other amendments, the IASB clarified the date of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system. This standard is effective for annual periods beginnning on or after 1 Janaury 2026.

Annual Improvements to IFRS Accounting Standards – Volume 11 (effective 1 January 2026)

The IASB has made the following improvements in September 2024:

IFRS 1, 'First-time Adoption of International Financial Reporting' – to improve consistency between IFRS 1 and IFRS 9, 'Financial Instruments', in relation to the requirements for hedge accounting, and to improve the understandability of IFRS 1;

IFRS 7, 'Financial Instruments: Disclosures' – to improve consistency in the language used in IFRS 7 with the language used in IFRS 13, 'Fair Value Measurement';

IFRS 9 – to clarify how a lessee accounts for the derecognition of a lease liability when it is extinguished, and to address an inconsistency between IFRS 9 and IFRS 15, 'Revenue from Contracts with Customers', in relation to the term 'transaction price';

IFRS 10, 'Consolidated Financial Statements' – to clarify the requirements in relation to determining de facto agents of an entity; and

IAS 7, 'Statement of Cash Flows' – to replace the term 'cost method' with 'at cost', since the term is no longer defined in IFRS Accounting Standards.

The Fund has determined that the amendments are not expected to materially impact the financial statements.

IFRS 18, 'Presentation and Disclosure in Financial Statements'

The IASB issued the new standard on presentation and disclosure in financial statements, which replaces IAS 1, with a focus on updates to the statement of profit or loss.
The key new concepts introduced in IFRS 18 relate to:

•the structure of the statement of profit or loss with defined subtotals;

•the requirement to determine the most useful structured summary for presenting expenses in the statement of profit or loss;

•required disclosures in a single note within the financial statements for certain profit or loss performance measures that are reported outside an entity's financial statements (that is, management-defined performance measures);and

•enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes in general.

The Fund is currently still assessing the effect of the forthcoming standard and amendments.

5 Financial assets and liabilities

Initial recognition and measurement
Financial assets and financial liabilities are recognised when the Fund becomes a party to the contractual provisions of the instrument.
Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the marketplace (regular way trades) are recognised on the trade date, i.e., the date that the Fund commits to purchase or sell the asset.
The Fund's financial assets include cash and bank deposits, other receivables and investment in infrastructure loans.

At initial recognition, the Fund Manager measures a financial asset or financial liability at its fair value plus or minus, in the case of a financial asset or financial liability not at fair value through profit or loss, transaction costs that are incremental and directly attributable to the acquisition or issue of the financial asset or financial liability, such as fees and commissions. Transaction costs of financial assets and financial liabilities carried at fair value through profit or loss are expensed in profit or loss. Immediately after initial recognition, an expected credit loss allowance (ECL) is recognised for financial assets measured at amortised cost and investments in debt instruments measured at FVOCI to the extent that they do not represent cash and cash equivalents.

When the fair value of financial assets and liabilities differs from the transaction price on initial recognition, the Fund recognises the difference as follows:

(a) When the fair value is evidenced by a quoted price in an active market for an identical asset or liability (i.e. a Level 1 input) or based on a valuation technique that uses only data from observable markets, the difference is recognised as a gain or loss.

(b) In all other cases, the difference is deferred and the timing of recognition of deferred day one profit or loss is determined individually. It is either amortised over the life of the instrument, deferred until the instrument’s fair value can be determined using market observable inputs, or realised through settlement.

(a) Financial assets

Classification and measurement
The Fund classifies its debt financial assets into the following measurement categories:
• Fair Value through Other Comprehensive Income (FVOCI)
• Fair Value through Profit or Loss (FVPL)
• Amortised Cost

Business model assessment

Business model assessment involves determining whether financial assets are managed in order to generate cash flows from collection of contractual cash flows, selling financial assets or both.
The Fund Manager assesses business model at a portfolio level reflective of how groups of assets are managed together to achieve a particular business objective. For the assessment of business model the Fund takes into consideration the following factors:

• the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management’s strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realizing cash flows through the sale of the assets
• how the performance of assets in a portfolio is evaluated and reported to the Trustees of the Fund;
• the risks that affect the performance of assets held within a business model and how those risks are managed;
• how compensation is determined for the Fund Manager that manages the assets; and
• the frequency and volume of sales in prior periods and expectations about future sales activity.

The Fund Manager determines the classification of the financial instruments at initial recognition. The business model assessment falls under three categories:
i) Financial assets held with the sole objective to collect contractual cash flows;
ii) Financial assets held with the objective of both collecting contractual cash flows and selling; and
iii) Financial assets held with neither of the objectives mentioned in the two categories above. These are basically financial assets held with the sole objective to trade and to realize fair value changes.

5 Financial assets and liabilities (continued)

(a) Financial assets (continued)
Cash flow characteristics

Where the business model is to hold assets to collect contractual cash flows or to collect contractual cash flows and sell, the Fund Manager assesses whether the financial instruments' cash flows represent solely payments of principal and interest (the 'SPPI test'). In making this assessment, the Fund Manager considers whether the contractual cash flows are consistent with a basic lending arrangement i.e. interest includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin that is consistent with a basic lending arrangement. Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset is classified and measured at fair value through profit or loss.
The Fund Manager reclassifies debt investments when and only when its business model for managing those assets changes. The reclassification takes place from the start of the first reporting period following the change. Such changes are expected to be very infrequent and none occurred during the period.

The classification requirements for debt instruments are described below:

Debt instruments
Debt instruments are those instruments that meet the definition of a financial liability from the issuer's perspective, such as loans, government securities
Classification and subsequent measurement of debt instruments depend on:
(i) the fund's business model for managing the asset; and
(ii) the cash flow characteristics of the asset.
Based on these factors, the fund classifies its debt instruments into one of the following three measurement categories:

(i) Financial assets measured at amortised cost
These represent assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest ('SPPI'), and that are not designated at FVPL. The carrying amount of these assets is adjusted by any expected credit loss allowance recognised and measured.

(ii) Financial assets measured at FVOCI
Financial assets that are held for collection of contractual cash flows and for selling the assets, where the assets' cash flows represent solely payments of principal and interest, and that are not designated at FVPL, are measured at fair value through other comprehensive income (FVOCI). Movements in the carrying amount are taken through other comprehensive income (OCI), except for the recognition of impairment gains or losses, interest revenue and foreign exchange gains and losses on the instrument's amortised cost which are recognised in the income statement.
When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in income. Interest income from these financial assets is included in 'Interest income' using the effective interest rate method.

(iii) Financial assets measured at FVTPL
Assets that do not meet the criteria for amortised cost or FVOCI are measured at fair value through profit or loss. A gain or loss on a debt investment that is subsequently measured at fair value through profit or loss are presented in the income statement within 'Net gains on financial assets measured at fair value through profit or loss' in the period in which it arises. FInterest income from these financial assets is included in "interest income on infrastructure loans".

Derecognition other than on a modification

Financial assets, or a portion thereof, are derecognised when the contractual rights to receive the cash flows from the assets have expired, or when they have been transferred and either (i) the Fund transfers substantially all the risks and rewards of ownership, or (ii) the Fund neither transfers nor retains substantially all the risks and rewards of ownership and the fund has not retained control.

Write-offs

Loans and debt securities are written off (either partially or in full) when there is no realistic prospect of recovery. This is generally the case when the Fund determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Fund's procedures for recovery of amounts due.

5 Financial assets and liabilities (continued)

(b) Financial liabilities

(i) Classification and measurement

In both the current and prior period, financial liabilities are recognised initially at fair value, net of any transaction costs. Subsequently, they are measured at amortised cost. The Fund has no financial liabilities in any other category. The Fund Manager determines the classification of financial liabilities at initial recognition. The financial liabilities include other payables and distributions payable to unitholders.

(ii) Derecognition of financial liabilities

Financial liabilities are derecognised when they have been redeemed or otherwise extinguished (i.e. when the obligation specified in the contract is discharged, cancelled or expires). The exchange between the Fund and its original lenders of debt instruments with substantially different terms, as well as substantial modifications of the terms of existing financial liabilities, are accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. The terms are substantially different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is at least 10% different from the discounted present value of the remaining cash flows of the original financial liability.

In addition, other qualitative factors, such as the currency that the instrument is denominated in, changes in the type of interest rate, new conversion features attached to the instrument and change in covenants are also taken into consideration. If an exchange of debt instruments or modification of terms is accounted for as an extinguishment, any costs or fees incurred are recognised as part of the gain or loss on the extinguishment. If the exchange or modification is not accounted for as an extinguishment, any costs or fees incurred adjust the carrying amount of the liability and are amortised over the remaining term of the modified liability.

6 Other accounting policies

(a) Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Fund and the revenue can be reliably measured. The fund has only one performance obligation for revenue recognitioin in line with IFRS 15. The following specific recognition criteria must also be met before revenue is recognised.

i) Interest income

The interest income on financial assets held at fair value through profit or loss are recognised on an accrual basis in the statement of comprehensive income. Interest income on infrastructure loans, convertible loans, bank deposits and treasury bills is included in statement of comprehensive income.

For all financial instruments measured at amortised cost, interest income or expense is recognised using the effective interest rate (EIR), which is the rate that exactly discounts the estimated future cash payments or receipts through the expected life of the financial instrument or shorter period, where appropriate, to the net carrying amount of the financial assets. This includes interest income on bank deposits and treasury bills.

ii) Upfront Fees on loan

Upfront fees on loans are recognised at the point the obligor agrees to the contractual facility agreement and the loan amount disbursed.

iii) Income from offer proceeds

Income from offer proceeds relates to the net interest income received by the fund on the offer procees for the period starting from the date of remittance of subscription amounts until the approval of allotment by the Securities & Exchange Commission for the series. This income is recognised when the final proceeds is transferred to the Fund Manager.

iv) Net fair value gains/(losses) on infrastructure loans

Net fair value gains or losses on infrastructure loans comprise realised gains or losses related to infrastructure loans designated as fair value through profit or loss and includes all unrealised fair value changes on the infrastructure loans.

(b) Cash and cash equivalents

Cash and cash equivalents as shown in the statement of financial position comprise cash in hand or bank, deposit held at call with banks and time deposits which are readily convertible to cash with a maturity of three months or less.

6 Other accounting policies (continued)

(c) Other payables

Other payables are obligations to pay for goods or services that have been acquired in the ordinary course of business of the Fund. Accounts payable are classified as current liabilities if payment is within one year or less. Otherwise, they are classified as non-current liabilities.

Other payables and accrued expenses are recognised initially at fair value and subsequently stated at amortised cost using the effective interest method.

(d) Provisions

A provision is recognised if, as a result of a past event, the Fund has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. The increase in the provision due to passage of time is recognised as interest expense.

(e) Distributions payable to Unitholders

Proposed distributions to Unitholders are recognised in the statement of changes in net assets attributable to unitholders when they are appropriately authorised and no longer at the discretion of the Fund Manager. This typically occurs when proposed distribution is approved by the Investment Committee of the Fund. Distribution payable to unitholders can be in the form of cash or scrip distribution. Unitholders can opt to receive scrip distribution in lieu of cash distribution based on scrip distribution alternative of 25,000,000 units approved by SEC in 2018.

(f) Operating expenses

All operating expenses except offer expenses are charged to the statement of comprehensive income and are accounted for on an accrual basis. Offer expenses are collected at source and not included in the statement of comprehensive Income at the completion of the relevant offer.

7 Significant accounting judgements and estimates

The preparation of financial statements in accordance with IFRS requires the Fund Manager to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts recognised in the financial statements. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability in the future.

(a) Critical accounting estimates and assumptions

i *Fair value of instruments not quoted in an active market.*

The determination of fair value for financial assets and liabilities for which there is no observable market price requires the use of valuation techniques. For financial instruments that trade infrequently and have little price transparency, fair value is less objective, and requires varying degrees of judgment depending on liquidity, concentration, uncertainty of market factors, pricing assumptions and other risks affecting the specific instrument. The Fund Manager uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs. The models used to determine fair values are validated and periodically reviewed by experienced personnel at the Valuation Agent, Deloitte & Touche, independent of the party that created them.

The determination of what constitutes ‘observable’ requires significant judgement by the Fund Manager. The Fund Manager considers observable data to be market data that is readily available, regularly distributed or updated, reliable and verifiable, not proprietary, and provided by independent sources that are actively involved in the relevant market.

7 Significant accounting judgements and estimates (continued)

(a) Critical accounting estimates and assumptions (continued)

i Fair value of instruments not quoted in an active market (contined)

The infrastructure loans are valued by a third-party Valuation Agent using the discounted cash flow methodology. The fair value of a loan is determined by discounting the future contractual cash flows using an ***"applicable discount rate"*** (determined by the Valuation Agent).
The discount rate is considered to be a critical assumption in the determination of the fair value of the infrastructure loans.

The table below shows how the changes in discount rate applied by the Fund Manager / Valuation adviser affect the changes in the valuation of financial assets at fair value.

31 December 2025						
Change in discount rate	**0.75%**	**0.50%**	**0.25%**	**-0.25%**	**-0.50%**	**-0.75%**
Value of infrastructure loans (N'000)	97,290,515	97,276,811	97,263,835	97,240,131	97,229,437	97,219,538
Change in value	38,913	25,209	12,232	(11,472)	(22,166)	(32,064)
Change in value (%)	0.041%	0.026%	0.013%	-0.012%	-0.023%	-0.033%

31 December 2024						
Change in discount rate	**0.75%**	**0.50%**	**0.25%**	**-0.25%**	**-0.50%**	**-0.75%**
Value of infrastructure loans (N'000)	94,838,132	94,809,207	94,780,847	94,725,871	94,699,282	94,673,310
Change in value	(2,408,342)	(2,437,267)	(2,465,628)	(2,520,603)	(2,547,192)	(2,573,164)
Change in value (%)	-2.512%	-2.542%	-2.572%	-2.629%	-2.657%	-2.684%

ii Credit risk premium is also considered to be a critical assumption in the determination of the fair value of the infrastructure loans.

Based on the sensitivity analysis (-1% to +2%) on the base credit spread, the range of values of infrastructure loans as at 31 December 2025 is presented in the table below:

31 December 2025

Base Value	Base Value	+1%	+2%	-1%	-2%
Value of infrastructure loans (N'000)	97,251,602	95,035,148	92,920,421	99,576,694	102,017,931
Change in value	-	(2,216,453)	(4,331,181)	2,325,092	4,766,329

31 December 2024

Base Value	Base Value	+1%	+2%	-1%	-2%
Value of infrastructure loans (N'000)	94,753,063	92,904,461	91,132,220	96,682,745	98,698,600
Change in value	-	(1,848,602)	(3,620,843)	1,929,682	3,945,537

8. Capital Risk Management

The Fund is wholly funded by contributions from members, comprising the issued units and retained earnings.
The Fund may seek to raise additional capital from time to time to the extent that the Fund Manager believes the Fund will be able to provide infrastructure loans in line with the Fund's investment policy.
As detailed in the Fund's prospectus dated 7 February 2017, the Fund may borrow up to 25% of its Net Asset Value when required. During the period the Fund did not have a debt facility.

The Fund's objective when managing funds is to safeguard the Fund's ability to continue as a going concern in order to provide returns for unitholders, provide benefits for other stakeholders and maintain a strong capital base to support the development of the investment activities of the Fund.
The Fund Manager monitor managed funds on the basis of the value of net assets attributable to unitholders.

9. Financial risk management

(a) Financial instruments

The table below sets out the classifications of the carrying amounts of the Funds financial assets and financial liabilities into categories of financial instruments under IFRS 9.

31 December 2025

	Financial assets		**Financial liabilities**
	FV through profit or loss **N'000**	Amortised cost **N'000**	Amortised cost **N'000**
Financial assets			
Cash and cash equivalents	-	40,189,972	-
Other receivables	-	25,720	-
Financial assets held at fair value through profit or loss	97,251,602	-	-
Financial liabilities			
Other payables	-	-	1,517,718
Distribution payable	-	-	5,598,958
	97,251,602	**40,215,692**	**7,116,676**

31 December 2024

	Financial assets		**Financial liabilities**
	FV through profit or loss **N'000**	Amortised cost **N'000**	Amortised cost **N'000**
Financial assets			
Cash and cash equivalents	-	25,780,822	-
Other receivables	-	9,700	-
Financial assets held at fair value through profit or loss	94,753,063	-	-
Financial liabilities			
Other payables	-	-	1,201,976
Distribution payable	-	-	5,788,133
	94,753,063	**25,790,522**	**6,990,109**

(b) Fair value estimation

The fair value of financial assets and liabilities traded in active markets (such as treasury bills and government bonds) are based on quoted market prices at the close of trading on the year end date. The Fund Manager utilises the last traded market price for both financial assets and financial liabilities.
An active market is a market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

The fair value of financial assets and liabilities that are not traded in an active market is determined by using valuation techniques. The Fund Manager uses a variety of methods and makes assumptions that are based on market conditions existing at each year end date.
For instruments for which there is no active market (infrastructure loans), the Fund Manager uses internally developed models, which are usually based on valuation methods and techniques generally recognised as standard within the industry. Valuation models are used primarily to value investment in infrastructure loans. Some of the inputs to these models may not be market observable and are therefore estimated based on assumptions.

The Fund Manager performs a valuation on the infrastructure loans of the Fund on a monthly basis and subsequent NAV is also reviewed monthly. The Valuation Adviser carries out annual fair valuation of the infrastructure loans of the Fund.

The forecast of risk-free rate, being the yield on the 10-year Federal Government of Nigeria's bond, was determined by the Valuation Agent (KPMG) for each projection period (being a quarter) over the life of each loan, using a proprietary forecast model using the yield curve information as on 31 December 2025.

The fair value hierarchy has the following levels:

Level 1: inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date;
Level 2: inputs are inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly; and
Level 3: inputs are unobservable inputs for the asset or liability.

The level in the fair value hierarchy within which the fair value measurement is categorised in its entirety is determined on the basis of the lowest level input that is significant to the fair value measurement. If a fair value measurement uses observable inputs that require significant adjustment based on unobservable inputs, that measurement is a Level 3 measurement. Assessing the significance of a particular input to the fair value measurement requires judgement, considering factors specific to the asset or liability.

The determination of what constitutes 'observable' requires significant judgement by the Fund Manager. The Fund Manager considers observable data to be that market data that is readily available, regularly distributed or updated, reliable and verifiable, not proprietary, and provided by independent sources that are actively involved in the relevant market.

The Fund Manager has classified investment in infrastructure loans which is measured at fair value through profit or loss as level 3 classification due to the limited number of comparable and observable market transactions. The significant input for the level 3 classification at period end is the discount rate for these investments which are considered to be primarily modelled rather than market observed.

The valuation process is dependent on assumptions and estimates which are significant to the reported amounts recognised in the financial statements taking into account the structure of the Fund and the extent of its investment activities.

Input sources for the valuation:
• Loan contract details
• Bond yields from FMDQ OTC Securities Exchange

Input basis:
• Estimate the amount and timing of the cash flows on the loans from the valuation date over the lifetime of the loans.
• Discount all the cash flows based on the applicable risk free rate and the risk premium for the loans, to obtain the fair value.

The following table analyses within the fair value hierarchy the Fund's assets and liabilities (by class) measured at fair value at 31 December 2025

	Level 1 N'000	Level 2 N'000	Level 3 N'000
Recurring fair value measurement			
Assets			
Financial assets held at fair value through profit or loss	-	-	97,251,602

Financial instruments not measured at fair value	Level 1 N'000	Level 2 N'000	Level 3 N'000
Assets			
Cash and cash equivalents	-	40,189,972	-
Other receivables	-	25,720	-
Financial assets held at amortized cost	-	-	200,000
	-	**40,215,692**	**200,000**
Liabilities			
Other payables	-	1,517,718	-
Distribution payable	-	5,598,958	-
	-	**7,116,676**	**-**

The following table analyses within the fair value hierarchy the Fund's assets and liabilities (by class) measured at fair value at 31 December 2024

	Level 1 N'000	Level 2 N'000	Level 3 N'000
Recurring fair value measurement			
Assets			
Financial assets held at fair value through profit or loss	-	-	94,753,063
	-	**-**	**94,753,063**

Financial instruments not measured at fair value	Level 1 N'000	Level 2 N'000	Level 3 N'000
Assets			
Cash and cash equivalents	-	25,780,822	-
Other receivables	-	9,700	-
Financial assets held at amortized cost	-	-	200,000
	-	**25,790,522**	**200,000**
Liabilities			
Other payables	-	1,201,976	-
Distribution payable	-	5,788,133	-
	-	**6,990,109**	**-**

The following table shows a reconciliation of all movements in the fair value of financial instruments within Level 3 between the beginning and end of the year:

	2025 N'000	2024 N'000
Opening balance	94,753,063	85,812,843
Additional investment in infrastructure loans	28,649,104	18,709,694
Repayments of Infrastructure loans	(27,153,434)	(10,139,771)
Fair value loss on valuation of infrastructure loans	1,002,869	370,297
Closing balance	**97,251,602**	**94,753,063**

(c) Objectives

The Fund has an investment policy and strategy, that sets out its overall investment strategy and its general risk
The Fund uses different methods to measure and manage the various types of risk to which it is exposed; these methods are explained below.

(d) Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Fund's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters while optimising the return. The fair value of the Fund's financial assets is measured and reported on a quarterly basis by the Fund Manager. The fair value of infrastructure loans provided by the Fund is also reviewed and reported by the Valuation Adviser on a semi-annual basis. The Fund Manager and the Valuation Adviser consider the movements in comparable credit markets and publicly available information in assessing the expected future cash flows from each investment.
The valuation principles used are based on a discounted cash flow methodology. A fair value for each infrastructure loan acquired by the Fund is calculated by applying a relevant market discount rate to the contractual cash flows expected to arise from each asset.

The Fund Manager and the Valuation Adviser determine the discount rate that they believe the market would reasonably apply to each infrastructure loan taking into account, inter alia, the following significant inputs:
- Interest rates prevailing in Nigeria for Naira instruments
- Movement in credit markets in Nigeria;
- Observable yields on corporate debt instruments in Nigeria.

The Fund Manager exercises its judgement in assessing the future cash flows from each infrastructure loan. Given that these loans are generally floating-rate debt instruments or other instruments with similar economic effect, the Fund Manager uses the average yield data for the relevant benchmark during the latest completed calendar quarter to forecast the future cash flow. As at 31 December 2025, the interest rate on infrastructure loans provided by the Fund is linked to the prevailing yield on the 10-year bond issued by the Federal Government of Nigeria. The Fund Manager also assesses the likelihood of any interruption to the debt service payments, in light of the operational and financial performance of the underlying project / business.

In monitoring market risk, the fund manager analysees the interest rate risk and the price risk. There is no financial instrument denominated in foreign currency, hence foreign currency risk is not applicable to the fund.

(e)Interest rate risk

Interest rate risks arises from the effects of fluctuations in the prevailing level of market interest rates on the fair value of financial assets and liabilities, future cash flows and borrowings.
Interest rate risk has the following effect:
(a.) Fair value of financial assets: Interest rates are one of the factors which the Valuation Adviser takes into account when valuing the financial assets. Hence, fluctuation in interest rates has an effect on the fair value of the infrastructure loans.
(b) Future cash flows: The Fund primarily invests in senior and subordinated debt instruments of infrastructure companies. The infrastructure loans generally have floating interest rate coupons, thereby directly affecting the future cash flows payable to the Fund. This is in line with the investment objective of the Fund, which seeks to achieve a sustainable return premium over the prevailing risk-free interest rate rather than focus on an absolute level of return. In general, the Fund does not seek to hedge the interest rate risk.

The table below sets out information on the exposure to fixed and variable interest instruments

	31 December 2025		
	Fixed	**Floating**	**Non-interest bearing**
	N'000	**N'000**	**N'000**
Financial assets			
Cash and cash equivalents	33,446,637	-	6,743,335
Other receivables	-	-	25,720
Financial assets held at fair value through profit or loss	4,148,226	93,103,376	-
Financial assets held at amortized cost	200,000	-	
	37,794,863	**93,103,376**	**6,769,055**
Financial liabilities			
Other payables	-	-	1,517,718
Distribution payable	-	-	5,598,958
	-	**-**	**7,116,676**

	31 December 2024		
	Fixed	**Floating**	**Non-interest bearing**
	N'000	**N'000**	**N'000**
Financial assets			
Cash and cash equivalents	21,239,503	-	4,541,319
Other receivables	-	-	9,700
Financial assets held at fair value through profit or loss	3,540,289	91,212,774	-
Financial assets held at amortized cost	200,000	-	
	24,979,792	91,212,774	4,551,019
Financial liabilities			
Other payables	-	-	1,201,976
Distribution payable	-	-	5,788,133
	-	-	6,990,109

Interest sensitivity analysis as at 31 December 2025

Impact on pretax profit of +/-100 basis points changes in interest rates over a 12 months period (N'000)

Time band	100 basis points decline in rates N'000	100 basis points increase in rates N'000
0 to 12 months	931,034	(931,034)

Interest sensitivity analysis as at 31 December 2024

Impact on interest income of +/-100 basis points changes in interest rates over a 12 months period (N'000)

Time band	100 basis points decline in rates N'000	100 basis points increase in rates N'000
0 to 12 months	912,128	(912,128)

(f) Foreign exchange risk

There is no financial instrument denominated in foreign currency hence foreign currency risk is not applicable to the fund as at December 31, 2025. (2024:Nil)

(g) Equity Price risk

The Fund is not exposed to equity risk at 31 December 2025 (2024:Nil)

(h) Credit risk

Credit risk refers to the risk that the counterparty to a financial instrument will fail to discharge an obligation or commitment that it has entered into with the Fund. In respect of infrastructure loans provided by the Fund and classified at fair value through profit and loss they do not have a published credit rating. The Fund Manager monitors the financial position and performance of the borrowing entities on a regular basis to ensure that credit risk is appropriately managed.

The credit risk of the Fund's infrastructure loans is highly dependent on the performance of the borrowing entities. The Fund Manager and the Valuation Adviser consider the credit risk associated with each of the infrastructure loans when valuing these loans. Credit risk is considered by the Fund Manager during both the origination process and at the subsequent quarterly valuations. The credit risk is considered with reference to a number of factors including, but not limited to: project sponsor quality and track record, contractual structure and counterparties, revenue and operations risk, project's financial profile and structure and terms of the loan.

After an infrastructure loan is provided, the financial forecasts are periodically revised based on the information provided by the borrowing entity in order to monitor the ongoing financial performance.

The credit risk associated with infrastructure loans provided by the Fund is mitigated by the availability of security (on either senior or subordinated basis) over the assets, cash flows and/or contractual rights of the borrowing entities / underlying projects.

Maximum exposure to credit risk before collateral held or other credit enhancements

IFRS 7 requires the disclosure of the amounts that best represents the Fund's maximum exposure to credit risk at the end of the reporting period without taking account of any collateral held or other credit enhancements (e.g. netting agreements that do not qualify for offset in accordance with IAS 32). This disclosure is presented below:

	31 December 2025 N'000	31 December 2024 N'000
Cash and cash equivalents	40,189,972	25,780,822
Other receivables	25,720	9,700
Financial assets held at fair value through profit or loss	97,251,602	94,753,063
Financial assets held at Amortised cost	200,000	200,000
	137,667,293	**120,743,586**

The Fund did not have any exposure to off-balance sheet items as at 31 December 2025 (2024: Nil). None of these assets are impaired nor past due but not impaired.

Industry/Sectoral Exposure to credit risk

31 December 2025

	Tele-communication N'000	Financial institutions N'000	Distribution network N'000	Port infrastructure N'000	Power N'000	Energy infrastructure N'000	Social infrastructure N'000	Total N'000
Cash and cash equivalents	-	40,189,972	-	-	-	-	-	40,189,972
Other receivables	-	25,720	-	-		-	-	25,720
Financial assets held at fair value through profit or loss	11,252,534	-	40,055,855	-	3,051,496	40,699,491	2,192,226	97,251,602
Financial assets held at amortised cost	-	-	-	-	-	-	200,000	200,000
	11,252,534	**40,215,692**	**40,055,855**	**-**	**3,051,496**	**40,699,491**	**2,392,226**	**137,667,294**

31 December 2024

	Tele-communication N'000	Financial institutions N'000	Distribution network N'000	Port infrastructure N'000	Power N'000	Energy infrastructure N'000	Social infrastructure N'000	Total N'000
Cash and cash equivalents	-	25,780,822	-	-	-	-	-	25,780,822
Other receivables	-	9,700	-	-	-	-	-	9,700
Financial assets held at fair value through profit or loss	16,146,215	-	16,064,033	-	30,896,014	29,747,674	1,899,127	94,753,063
Financial assets held at Amortised cost	-	-	-	-	-	-	200,000	200,000
	16,146,215	**25,790,522**	**16,064,033**	**-**	**30,896,014**	**29,747,674**	**2,099,127**	**120,743,587**

(i) Liquidity risk

Liquidity risk is the risk that the Fund may not be able to generate sufficient cash resources to settle its obligations in full as they fall due or can only do so on terms that are materially disadvantageous. The Fund Manager ensures that the Fund maintains adequate reserves by continuously monitoring forecast and actual cash flows and matching the maturity profile of financial assets and liabilities.
The financial assets designated at fair value through profit or loss are the infrastructure loans provided by the Fund. These loans would take significant time to realise and there is no assurance that the valuations placed on these loans would be achieved from any such disposal process.

Gross nominal (undiscounted) maturities of financial assets and liabilities

The table below presents the analysis of the undiscounted gross cash flows on the Funds' financial assets and liabilities and on the basis of their earliest possible contractual maturity.

31 December 2025

	Carrying amount	Gross amount	Less than 3 months	3 to 12 months	1 - 5 years	Over 5 years
	N'000	N'000	N'000	N'000	N'000	N'000
Financial assets						
Cash and cash equivalents	40,189,972	40,469,941	34,214,275	6,255,667	-	-
Other receivables	25,720	25,720	25,720	-	-	-
Financial assets held at fair value through profit or loss	97,251,602	162,636,264	281,464	12,145,622	66,740,036	83,469,142
Financial assets held at amortised cost	200,000	200,000	-	200,000	-	-
	137,667,294	**203,331,925**	**34,521,459**	**18,601,289**	**66,740,036**	**83,469,142**
Financial liabilities						
Other payables	1,517,718	1,517,718	1,517,718	-	-	-
Distribution payable	5,598,958	5,598,958	5,598,958	-	-	-
	7,116,676	**7,116,676**	**7,116,676**	**-**	**-**	**-**
Gap (asset-liabilities)	130,550,618	196,215,249	27,404,783	18,601,289	66,740,036	83,469,142
Cumulative liquidity gap			27,404,783	46,006,072	112,746,108	196,215,250

31 December 2024

	Carrying amount	Gross amount	Less than 3 months	3 to 12 months	1 - 5 years	Over 5 years
	N'000	N'000	N'000	N'000	N'000	N'000
Financial assets						
Cash and cash equivalents	25,780,822	26,175,521	21,334,151	4,841,371	-	-
Other receivables	9,700	9,700	9,700	-	-	-
Financial assets held at fair value through profit or loss	94,753,063	158,632,569	1,663,355	16,333,067	47,949,558	92,686,589
Financial assets held at amortised cost	200,000	200,000	-	-	200,000	-
	120,743,586	**185,017,790**	**23,007,206**	**21,174,438**	**48,149,558**	**92,686,589**
Financial liabilities						
Other payables	1,201,976	1,201,976	1,201,976	-	-	-
Distribution payable	5,788,133	5,788,133	5,788,133	-	-	-
	6,990,109	**6,990,109**	**6,990,109**	**-**	**-**	**-**
Gap (asset-liabilities)	113,753,477	178,027,681	16,017,097	21,174,438	48,149,558	92,686,589
Cumulative liquidity gap			16,017,097	37,191,535	85,341,093	178,027,682

CHAPEL HILL DENHAM NIGERIA INFRASTRUCTURE DEBT FUND
NOTES TO THE FINANCIAL STATEMENT
FOR THE YEAR ENDED 31 DECEMBER 2025

Residual contractual maturities of financial assets and liabilities

The following table shows the contractual maturities at period end of the Fund's financial assets and liabilities and represents actual and in some cases assumed obligation expected for the assets or liability to be recovered or settled. These figures do not include elements of future incomes or costs.

	31 December 2025					
	Carrying amount	**Gross amount**	**Less than 3 months**	**3 to 12 months**	**1 - 5 years**	**Over 5 years**
	N'000	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**
Financial assets						
Cash and cash equivalents	40,189,972	40,189,972	40,189,972	-	-	-
Other receivables	25,720	25,720	25,720	-	-	-
Financial assets held at fair value through profit or loss	97,251,602	162,636,264	281,464	12,145,622	66,740,036	83,469,142
Financial assets held at amortised cost	200,000	200,000	-	200,000	-	-
	137,667,293	**203,051,955**	**40,497,155**	**12,345,621**	**66,740,035**	**83,469,141**
Financial liabilities						
Other payables	1,517,718	1,517,718	1,517,718	-	-	-
Distribution payable	5,598,958	5,598,958	5,598,958	-	-	-
	7,116,676	**7,116,676**	**7,116,676**	**-**	**-**	**-**
Gap (asset-liabilities)	130,550,617	195,935,279	33,380,479	12,345,621	66,740,035	83,469,141
Cumulative liquidity gap			33,380,479	45,726,100	112,466,135	195,935,276

	31 December 2024					
	Carrying amount	**Gross amount**	**Less than 3 months**	**3 to 12 months**	**1 - 5 years**	**Over 5 years**
	N'000	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**
Financial assets						
Cash and cash equivalents	25,780,822	25,780,822	25,780,822	-	-	-
Other recievable	9,700	9,700	9,700	-	-	-
Financial assets held at fair value through profit or loss	94,753,063	158,632,569	1,663,355	16,333,067	47,949,558	92,686,589
Financial assets held at amortised cost	-	200,000	-	-	200,000	-
	120,543,585	**184,623,091**	**27,453,877**	**16,333,067**	**48,149,558**	**92,686,589**
Financial liabilities						
Other payables	1,201,976	1,201,976	1,201,976	-	-	-
Distribution payable	5,788,133	5,788,133	5,788,133	-	-	-
	6,990,109	**6,990,109**	**6,990,109**	**-**	**-**	**-**
Gap (asset-liabilities)	113,553,476	177,632,982	20,463,768	16,333,067	48,149,558	92,686,589
Cumulative liquidity gap			20,463,768	36,796,835	84,946,393	177,632,982

10 Interest income on Infrastructure loans

The table below analyses the Fund's operating income for the year per investment type:

	31 December 2025 N'000	31 December 2024 N'000
Interest income on infrastructure loans	21,563,556	17,637,015

11 Net fair value gain on Infrastructure loans	**31 December 2025 N'000**	**31 December 2024 N'000**
Net fair value gain on infrastructure loans	1,002,869	370,297

12 Other income

Interest income on bank deposit	2,839,562	2,987,555

13 Other income

Upfront fees on loans	217,756	90,600
Other income	145,673	498,296
Foreign exchange loss	(1,592)	-
	361,837	**588,896**

This relates to prepayment premium for obligors that prepaid during the period.

14 Operating expenses

Fund manager	1,595,314	1,437,085
Custodian expenses	25,593	22,973
Trustees	21,500	21,500
Registrar	2,774	3,505
Auditor	23,000	16,125
Valuation adviser	21,500	21,500
Annual listing fee	16,852	14,764
Regulatory & Supervisory fees	235,999	214,421
Professional advisory	369,744	242,058
Bank charges	46	57
	2,312,322	**1,993,989**

Auditor's remuneration represents fees for the audit of the Fund for the year ended 31 December 2025. There was no non-audit services rendered by the Auditors to the fund and the Fund Manager during the financial year.
The Fund's units are listed on the FMDQ OTC Exchange. The listing fee is paid annually in advance.
The professional advisory expenses are incurred on third-party advisers in connection with evaluation of projects for providing infrastructure loans to such projects.

15 Cash and cash equivalents	**31 December 2025 N'000**	**31 December 2024 N'000**
Cash	6,743,335	4,541,319
Bank deposits	33,446,637	21,239,503
Total	**40,189,972**	**25,780,822**
Curent	40,189,972	25,780,822
Non-current	-	-
	40,189,972	**25,780,822**

16 Other receivables

Other receivables	25,720	9,700
Curent	25,720	9,700

The other receivables matured in less than 3 months. As such, no ECL model impairment is deemed necesary due to the short tenor.

17 Financial assets held at fair value through profit or loss

	31 December 2025 N'000	31 December 2024 N'000
Opening balance	94,753,063	85,812,843
Investment in infrastructure loans	28,649,104	18,709,694
Repayments of Infrastructure loans	(27,153,434)	(10,139,771)
Fair value gain on valuation of infrastructure loans	1,002,869	370,297
	97,251,602	**94,753,063**

18 Financial assets held at Amortised Cost

Investment in Convertible Loans	200,000	200,000
	200,000	**200,000**

This relates to convertible loan to an investee company. The instrument has both debt and equity characteristics, as it is convertible into equity of the investee at the option of the Fund.

These balances have been assessed for impairment in line with the provisions of IFRS 9. Although an assessment was performed, management determined that the expected credit losses (ECL) calculated were immaterial. Consequently, no impairment losses have been recognised in the financial statements.

19 Other payables

Accrued fund expenses	640,451	481,835
Deferred Income	2,028	40,784
Other payables	875,239	679,357
	1,517,718	**1,201,976**
Curent	**1,517,718**	**1,201,976**
Non-current	-	-
	1,517,718	**1,201,976**

20 Distribution payable

	2025 N'000	2024 N'000
	5,598,958	**5,788,133**

Movement in distribution payable

Opening balance	5,788,133	3,267,724
Additional provisions	21,919,726	19,374,511
Cash distributions made during the year	(22,004,394)	(16,779,469)
Scrip distribution made during the year	(104,507)	(74,633)
	5,598,958	**5,788,133**

During the year, the Fund announced the following distributions:

Distributions		
February 25	15,974	-
March 25	5,731,446	4,064,176
June 25	5,489,870	4,103,242
September 25	5,085,698	4,892,121
December 25	5,596,738	6,314,973
Total	**21,919,726**	**19,374,511**

In accordance with the Fund's trust deed, the Fund will distribute at least 90% of the net income of the Fund on a quarterly basis. In determination of the distribution amount, the Fund manager considers a number of factors, including accounting profit, fair value treatment of investments held, future investments, reserves, cash balances and liquidity. The payment of distribution is considered by the Investment Committee and where approved is declared on a quarterly basis. Distribution due to the Unitholders are recognised when they become payable.

21 Net assets attributable to unitholders

	Units ('000)	31 December 2025 N'000	Units ('000)	31 December 2024 N'000
Opening balance	1,055,292	113,538,212	960,649	103,306,001
Addition of new issues	140,100	15,156,859	93,950	10,157,578
Scrip issues	966	104,507	693	74,633
Member's fund	**1,196,358**	**128,799,578**	**1,055,292**	**113,538,212**
Retained earnings		1,751,040		215,264
		130,550,618		**113,753,476**

22 Reclassification of comparative information

Certain comparative figures have been reclassified to conform with the presentation adopted in the current year. In particular, amounts previously presented as Other assets have been reclassified to Loans in the statement of financial position.

These reclassifications were made to improve the consistency and relevance of presentation and did not result from an error in prior-year financial statements. Accordingly, the reclassification does not constitute a restatement. There was no impact on total assets, equity, profit or cash flows for the prior year.

23 Related party disclosures

As defined by IAS 24 Related Party Disclosures, parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions.

Fund Managers

The Fund Manager is a party to the trust deed establishing the Fund, pursuant to which it manages the day-to-day affairs of the Fund in accordance with the Fund's investment objective and policies.
For undertaking the management activities of the Fund, the Fund Manager receives a fund management fee which is calculated and paid quarterly in arrears, at a rate of 1.25% per annum of the prevailing Net Asset Value of the Fund. During the period, the Fund expensed N1.60bn in respect of fund management fee payable to the Fund Manager.

Chapel Hill Denham Advisory Limited ("CHDA")

CHDA acted as the lead issuing house for the Fund's issuances , pursuant to which it provided investment banking advisory services to the Fund.

24 Compliance with regulatory bodies

The Fund did not contravene any regulation of the Investment and Securities Act or relevant circulars issued by the Securities and Exchange Commission.

OTHER NATIONAL DISCLOSURES

Value added statement

	31 December 2025 N'000	31 December 2024 N'000
Gross earning	25,767,824	21,583,764
Bought-in-materials and services		
Local	(2,097,058)	(1,993,989)
Value added	**23,670,766**	**19,589,775**
Distribution of value added		
To providers of finance		
Distribution of unit holders	21,919,726	19,374,511
Retained in business:		
Retained	1,751,040	215,264
	23,670,766	**19,589,775**

CHAPEL HILL DENHAM NIGERIA INFRASTRUCTURE DEBT FUND
FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025
Five-Year Financial Summary

	2025 N'000	2024 N'000	2023 N'000	2022 N'000	2021 N'000
Financial position					
Cash and cash equivalents	40,189,972	25,780,822	21,228,804	19,718,615	21,499,952
Financial assets held at fair value through profit or loss	97,251,602	94,753,063	85,812,843	62,562,153	57,380,035
Financial assets held at Amortised cost	200,000	200,000	170,000	157,895	-
Other receivables	25,720	9,700	586,247	12,169,835	1,484,153
	137,667,294	120,743,586	107,797,894	94,608,497	80,364,141
Other payables	(1,517,718)	(1,201,976)	(1,224,169)	(716,853)	(366,108)
Distribution payable	(5,598,958)	(5,788,133)	(3,267,724)	(2,159,612)	(2,003,233)
Net assets	130,550,618	113,753,477	103,306,001	91,732,032	77,994,799
Capital and reserves					
Member's funds	128,799,578	113,753,476	103,306,001	91,732,032	77,994,799
Retained earnings	1,751,040.47	-	-	-	-
Net assets attributable to unitholders	130,550,618	113,753,476	103,306,001	91,732,032	77,994,799
Total income	**25,767,824**	**21,583,764**	**22,099,823**	**8,799,583**	**6,526,067**
Total operating profit	23,455,502	19,589,775	20,378,125	7,366,182	5,526,159
Profit before tax	23,455,502	19,589,775	20,378,125	7,366,182	5,526,159
Profit after tax	23,455,502	19,589,775	20,378,125	7,366,182	5,526,159
Number of Units ('000)	1,196,358	1,055,292	960,649	853,576	725,311
NAV per unit	109.12	107.79	107.54	107.47	107.53